

Plunge A steep drop in a stock as part of a diving board pattern, measured from the end of the board to the subsequent low. Often lasting from several weeks to months. Recovery is often V-shaped.

Position trader A trader who holds a position for days, weeks, or longer, following a longer term trend. Contrast with *Swing trader*.

Premature breakout When price moves or closes outside the pattern's trendline boundary but quickly returns. A premature breakout cannot be distinguished from a valid breakout when it occurs. The second and succeeding editions of this book assume a premature breakout is the actual breakout when computing statistics.

Pullback A retrace after a downward breakout. Price returns to, or comes very close to, the breakout price or trendline within 30 days after the breakout. Whitespace must appear between the hooking price action of the pullback and the breakout price. This rule prevents the pullback term being applied to price clustering near the breakout price. See [Figure G2](#).

Reversal The movement of price when it enters and exits the chart pattern from the same side. Price reverses the prevailing price trend from up to down or down to up. Contrast with *Continuation*.

Single bust A chart pattern that fails to see price move more than 10% in the breakout direction before reversing and closing above/below the end opposite the breakout direction and then moving more than 10% away. See *Busted pattern* and [Figure G1](#).

Standard & Poor's 500 change The change in the S&P 500 index using the dates of the chart pattern breakout and ultimate high or low.

Stop-loss order. A trading order to buy at a price above (buy stop) or sell at a price below (stop loss) the current market price.

Stops (How often stops hit, [Table x.7](#)). Short for stop-loss order. To understand how often a stop is hit, look at the double bottom in [Figure G3](#). A double bottom chart pattern appears at AB, with the top of the pattern at C. When price closes above C (which happens at D), the double bottom confirms as a valid double bottom. My computer finds the lowest low on the way to the ultimate high in relation to the chart pattern. In this example, the ultimate high isn't shown because it's off the scale. On the way to the ultimate high, the stock drops to E.